

POWER OF CARGO AND FREIGHT BUYERS WITHIN THE US COMMERCIAL AIRLINE INDUSTRY

The bargaining power for buyers is one of the 5 forces within Porter's Five Forces framework used as a strategic analysis tool developed by Micheal E. Porter to evaluate the competitive forces that shape an industry. This executive summary aims to identify the main economic levelers that either increase or decrease the bargaining power of cargo and freight buyers within the US commercial airline industry. Cargo airlines focus exclusively on transporting goods and freight rather than passengers. The US commercial airline cargo market as a segment of the broader logistics and supply chain industry

- **Other available alternatives to air cargo transportation such as truck, rail, and water(Boat)**
 - Transport modes of air and truck are the two most expensive with **air at an average cost of 169.7 cents per ton-mile** and **truck at 18.83 cents per ton-mile** as seen in Figure 1. However, although trucking is one of the more expensive options, it is still 8x less expensive than air while still providing high flexibility compared to cheaper options like water and rail.
 - According to the American Trucking Association (ATA), the estimated share of U.S. freight transportation in 2024 can be seen in Figure 2. In the order of highest to lowest share, **trucking holds 72%** as the most used form of U.S. freight transportation highlighting its dominance over air transport.
- **Limited Buyers within the US commercial airline cargo market**
 - Top buyers in the market include FedEx, UPS, and Amazon with FedEx being the largest with **37.3B in revenue** as shown in figure 3.
 - Higher buyer concentration increases their bargaining power over airlines
- **Economic downturn and conditions**
 - In periods of economic downturn, buyers have more negotiating power as airlines compete intensely to fill cargo space.
 - Lower cost of alternatives can lead buyers to consider them as the better financial choice
- **Vertical Integration from top buyers and creates substitution in the market**
 - Vertical integration from buyers can reduce reliance on third-party carriers and diminish existing airline power.
 - Amazon Air has been expanding its fleet with the addition of new airbuses. Estimated to **be 14% of FedEx's and 23% of UPS's capacity** as of September 2022.

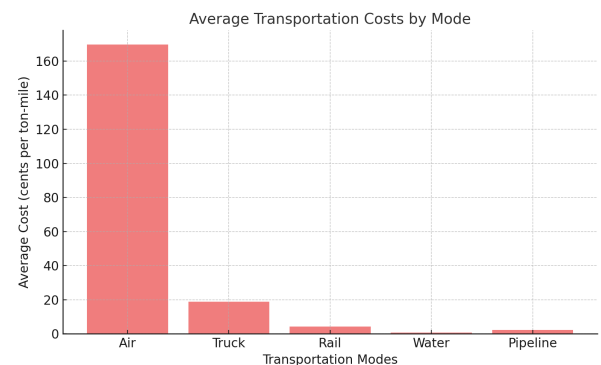
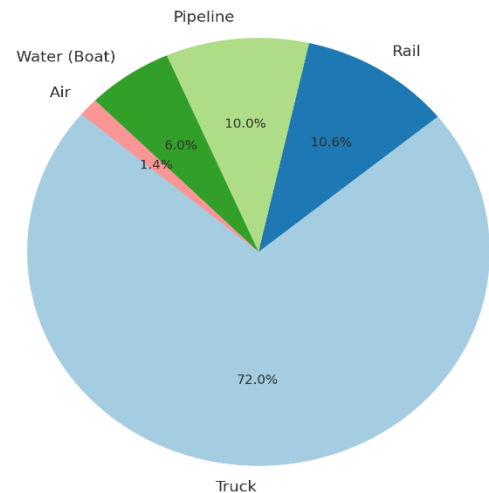


Figure SEQ Figure * ARABIC 1:
<https://www.bts.gov/content/average-freight-revenue-to-n-mile>

Modal Share of U.S. Freight Transportation (2024)



<https://www.trucking.org/news-insights/ata-us-freight-transportation-forecast-2035>

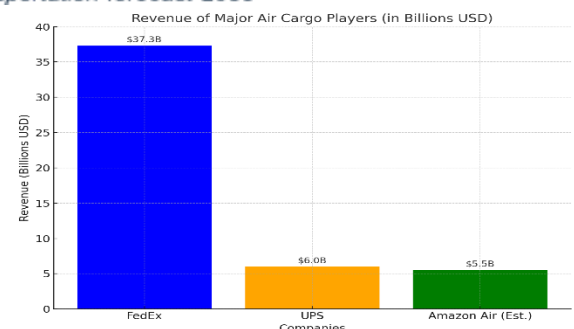


Figure 3:
<https://www.statista.com/topics/2815/air-cargo-market-in-the-united-states/>